



MANDAR DEODHAR

“ Besides day punters nobody is unhappy. Almost all the stakeholders have been taken care of.”

SIDDHARTH ROY, *Chief Economist, Tata Group*

are trying some reforms. For instance, the promise to phase out fertiliser subsidy and replace it with a direct transfer for nutrients is good.

Bery: What sticks in mind is that this Government expects to be judged on its capacity to return quickly to 9 per cent growth and stay at that. That will permit it to do many things. That is the underlying logic. He made it very clear that he was talking in terms of short-term revitalisation, then come medium-term growth led by the private sector and, finally social protection or *aam aadmi* and other schemes.

intended to put more money in your hand, given that private consumption expenditure is falling. If you look at some of the things which the corporate sector had asked for in the area of investments, yes, more could have been done. A few good things, however, have been done. For example, wherever the sunset clauses were about to end, they have been extended. Certain things have been done for export-oriented units. Also, tax benefit calculation for IT units has been worked out.

Ranade: The two big steps in terms of reforms, which may be small but very welcome, are scrapping of FBT—undoing something has become a reform—and the explicit mention of targeting fertiliser subsidies. But, overall it is about continuing with what is working. The UPA was convinced that its *aam aadmi* agenda of very wide base of inclusive spending was working. And though this time the UPA doesn't carry the baggage of the Left parties in the coalition, there is enough conviction within the new UPA that it must continue with social sector expenditure programmes. There is an attempt to continue tax rationalisation and tax reform agenda. But we didn't see the big step.

Goyal: There are two things. One is growth. The method seems to be to spend to generate demand. In simple economics, a potential output is much higher than the current output. There is a fall in consumption in many sectors and there has been a fall in exports. So the thinking seems to be that demand-led growth is possible in current circumstances. And exports have fallen, creating a gap in overall demand. The Budget has been used to create incomes and demand. That is a method and he is taking a risk because this is required. Although America and the UK are doing this now with huge deficits, we have been sold the story that emerging markets can't afford to run deficits. So, it is a calculated risk to run a large deficit now. Increasing government expenditure by 13 per cent, putting more money in the hands of the consumer is all aimed at creating demand. Second, under their election manifesto on inclusive governance they

POPULIST OR PROFLIGATE?

Is higher spend on schemes sustainable?

Ranade: It has got a lot of politics in it. Is it sustainable? I don't think so, not at this pace. This is an unusual year, so you needed an extra spending this year, but take the increase of 144 per cent allocation for NREGA, you obviously can't sustain that kind of increase in spending on these schemes. The UPA's conviction is, if it isn't broken, don't fix it. It helped last year post meltdown, so don't mess with it.

Goyal: The focus on political aspects is hard to understand because this Government has come in with a huge majority. So if it has to do unpleasant things this is the year to do it. It is true that some state elections are coming up, but they don't need to bother much because they have a strong majority. It just happened by fluke last year that they had all these schemes, which meant a certain kind of spending; putting money in people's hands helped shore up the economy when external demand was short. That worked. The thinking seems to be that this is something we can do. Let us do more of it. There is populism but you can see the beginnings of some economic rationale.

Debroy: Every Budget is a political document. Second, we are complaining about this particular Budget not having vision or some kind of grand design. But when we are criticising it, what we are actually saying is, we have got a grand design, we have got a vision, and that is not coinciding with whatever vision you have got. That is illogical. I think the UPA has a certain vision, which you and I, everyone else may disagree with, but there is a certain vision. It characterised UPA I, continues to characterise UPA II, because the UPA perceives that it won the mandate because of that vision it pursued. And this Budget continues with that. On tax reforms, this is a first economic Budget we have had